

Kevin,

Would you have some time today or tomorrow to discuss this? Also, we should rally with Kevin Hyatt to discuss his ideas on Sun Devil and determine if we can use a similar strategy for Trans Pecos.

My calendar is pretty open, just let me know what works for you and I'll coordinate with everyone.

Thanks,
Kim.

-----Original Message-----

From: Howard, Kevin A.

Sent: Monday, December 10, 2001 10:22 AM

To: Watson, Kimberly

Subject: Financing Arrangements

Kim:

I was hoping to catch up with you after Stan's meeting to discuss TW financing arrangements. Their is still a very good possibility that TW could be added to the Cpt. 11 companies sometime in early Jan. (the Revolving Credit Agreement would be paid off as part of that process). Two things to remember on new projects - (i) likelihood of TW cash for equity in deal is very low and (ii) If TW is put into Cpt. 11, the implications of its credit on the other counterparties. If we can find other people's money and structure around the TW credit risk, we have a better chance (but still will be extremely tough). As you heard this morning, cash is at a very high premium right now (especially with Red Rock expansion).

Thanks,

Kevin